EXECUTIVE REPORT

CDT Equivalence Test — ICOLCAP Portfolio — First-Month Cutoff

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Cutoff date: September 25, 2026 (31 days / 1.0 month since opening)

Figures calculated with the author's own portfolio-tracking system, using closing prices of August 25 and September 25, 2026 and the fund's dividend distribution calendar.

1. Executive Summary

This report answers the same question as the CDT test (a CDT, certificado de depósito a término, is a Colombian fixed-term deposit), now with a single-position portfolio: **can a portfolio invested in ICOLCAP —the ETF that tracks the MSCI COLCAP index— deliver, every month, a withdrawal equivalent to the return of a 13% E.A. CDT without affecting the capital disbursed by the investor?** (E.A. means effective annual rate.) The whole exercise is carried out in Colombian pesos, with no currency conversion. A CDT at that rate yields 1.0237% per month; applied to the reference capital of $315,357,771.28 COP, this is equivalent to a target withdrawal of **$3,228,268.42 COP** for this first month.

Result: **the condition IS MET.** At the close of September 25, 2026 the portfolio is worth $327,483,540.91 COP (+3.85% on the reference capital, net of entry costs). Covering the target requires using the available cash ($66,412.91 COP) and selling 123 units of ICOLCAP; after the withdrawal the portfolio stands at $324,240,397.49 COP, that is, $8,882,626.21 COP (+2.82%) above the reference capital.

The difference versus the dollar-denominated ETF portfolio is explained mainly by two factors: the price of ICOLCAP rose +4.55% in the month and the entry costs were only 0.69% of the capital, versus 1.79% for the ETF portfolio, which also paid a currency-conversion fee. A single month does not allow conclusions about the viability of the strategy: section 6 shows how far the price can fall before the condition stops being met.

2. Assumptions and Methodology

2.1 Capital and Purchase Operation

- **Reference capital:** $315,357,771.28 COP, the same amount used as the base of the CDT test and of the ETF portfolio. It is a fixed ceiling: the fees and the tax on the purchase come out of that amount, so the investor does not have more capital than in the other tests and the results are comparable.

- **Platform and units:** operations are executed on Trii, a Colombian online brokerage that does not allow fractional purchases of ICOLCAP; whole units are bought and the leftover stays as cash in pesos.
- **Purchase price:** $24,721 COP, closing price of August 25, 2026 (opening date).
- **Purchase fee:** 0.25% of the value of the shares plus 19% VAT (IVA, Colombia's value-added tax) (0.2975% effective).
- **4 x 1000 tax (GMF):** 0.4% on the value of the shares plus the fee. GMF (Gravamen a los Movimientos Financieros) is Colombia's financial transactions tax.

2.2 Assumptions Specific to the CDT Test

- **Reference rate:** CDT at 13% E.A.; equivalent monthly rate = (1.13)^(1/12) − 1 = 1.0237%.
- **Target amount:** reference capital × monthly rate = $315,357,771.28 × 1.0237% = $3,228,268.42 COP.
- **Order of liquidation:** the available cash is used first (leftover from the purchase plus dividends received); if it is not enough, the minimum number of whole units of ICOLCAP is sold so that, after the sale fee, the net covers the shortfall. The surplus from unit rounding stays in the portfolio as cash. Since there is only one position, the rule of selling the winner with the highest return does not apply.
- **Sale fee:** for transactions below $5,000,000 COP, Trii charges a flat fee of $12,500 plus 19% VAT ($14,875 COP) and the transaction is exempt from the 4 x 1000 tax. With a target of about $3.2 million per month the sale never reaches that threshold; if it did, the system warns and calculates with 0.25% plus VAT.
- **Hard condition:** after the withdrawal, the portfolio value (remaining units at the closing price plus cash) must be greater than or equal to the reference capital ($315,357,771.28 COP). If it is not met, no sale is executed that month.
- **Dividends:** they are attributed to the issuer's payment date and to the units held by the portfolio that day. No withholding tax (retención en la fuente) is assumed, since the amount received is below the dividend-exempt amount for individuals (about $57 million COP).
- **Data:** the Colombian Stock Exchange (BVC) offers no free library or API to automate queries, so the closing prices and the dividends per unit were entered manually by the author (issuer's distribution calendar and dividend-per-unit data from Investing.com).
- **Tools:** the calculations, tables and charts were generated with Python, the VS Code platform and the Claude artificial-intelligence assistant; the code was subjected to rigorous review and correction by the author of this report. The code is available to any interested party.

3. Portfolio Opening — August 25, 2026

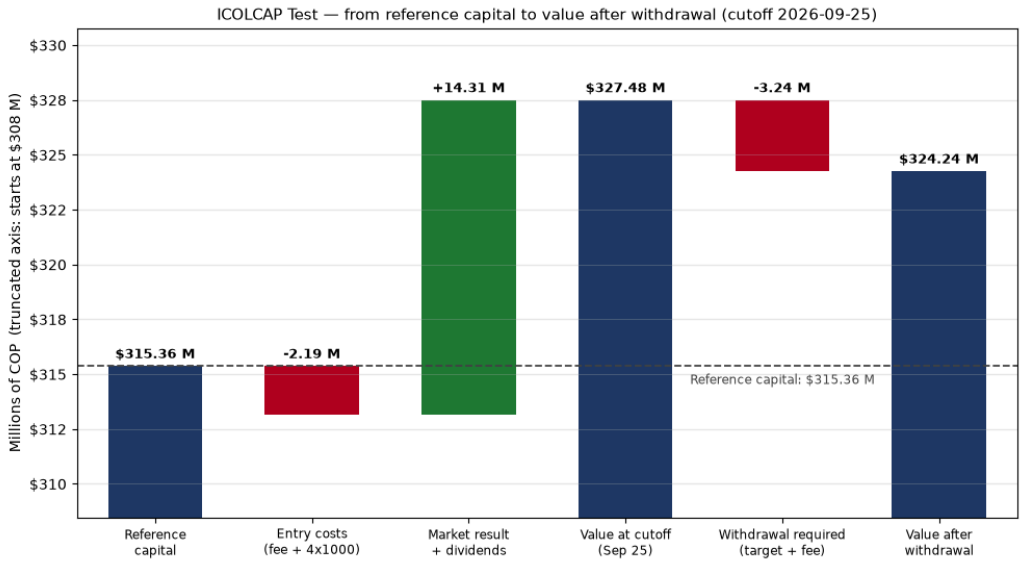
The following table details the purchase of whole units of ICOLCAP with the reference capital as the ceiling:

Item	Value
Reference capital (ceiling)	$315,357,771.28 COP
Purchase price (close Aug 25, 2026)	$24,721 COP
Units bought	12,668
Value of the shares	$313,165,628.00 COP
Trii fee (0.25% + VAT 19%)	$931,667.74 COP
4 x 1000 tax (GMF 0.4%)	$1,256,389.18 COP
Total debited	**$315,353,684.93 COP**
Leftover cash	$4,086.35 COP
Entry costs (fee + GMF)	**$2,188,056.93 COP (0.69%)**

The entry costs of this portfolio equal 0.69% of the capital. In the dollar ETF portfolio they were 1.79%, because the currency-conversion fee of Global66 (1.4%, an online currency-transfer platform) was added to the local transaction costs.

4. Result of the CDT Test

The following chart breaks down the path from the reference capital to the portfolio value after the withdrawal. It is built from the figures of the test (it is not a daily price series); the axis starts at $308 million to make the differences visible.



4.1 Portfolio State and Target Amount

Item	Value
Closing price at cutoff (Sep 25, 2026)	$25,846 COP (+4.55% vs. purchase)
Value of the 12,668 units	$327,417,128.00 COP
Cash (leftover + dividends)	$66,412.91 COP
Total portfolio value at cutoff	**$327,483,540.91 COP**
Net return on the reference capital	+3.85%
Return before entry costs (context only)	+4.57%
Monthly CDT rate (13% E.A.)	1.0237%
Target amount for the month	**$3,228,268.42 COP**

4.2 Settlement

Item	Value
Cash used for the target	$66,412.91 COP
Shortfall to cover with a sale	$3,161,855.51 COP
ICOLCAP units to sell	123 at $25,846

Item	Value
Gross sale	$3,179,058.00 COP
Sale fee ($12,500 + VAT 19%)	-$14,875.00 COP
Net from the sale	$3,164,183.00 COP
Delivered to the investor	**$3,228,268.42 COP**
Difference versus the target	$0.00
Cash left in the portfolio (unit rounding)	$2,327.49 COP

4.3 Verification of the Hard Condition

Item	Value
Portfolio value at cutoff (before the withdrawal)	$327,483,540.91 COP
Total withdrawal from the portfolio (target + sale fee)	-$3,243,143.42 COP
Remaining units	12,545
Portfolio value after the withdrawal	$324,240,397.49 COP
Reference capital (threshold)	$315,357,771.28 COP
Margin versus the threshold	**+$8,882,626.21 COP (+2.82%)**
Is the capital preserved?	**MET**

Since the condition is met, the liquidation is executed in this test: 123 units are sold and the investor receives the amount equivalent to one month of CDT.

5. Dividends of the Period

During the first month the portfolio received a single dividend payment, attributed to the issuer's exact payment date and to the units held by the portfolio that day:

Payment date	Div. per unit	Units	Amount (COP)
2026-09-04	$4.92	12,668	$62,326.56
TOTAL			**$62,326.56**

The dividend with a record date of September 30 ($154.84 COP per unit, paid on October 6, 2026) falls outside this first cutoff and will be included in the next evaluation. ICOLCAP's dividend yield (3.27% per year, according to Investing.com) is far below the rate of a CDT, so the monthly withdrawal depends essentially on the sale of units and, therefore, on the appreciation of the price.

6. Analysis: Why Is the Condition Met and How Comfortable Is It?

6.1 Where the Margin Comes From

- Market result and dividends: +$14,313,826.56 COP (appreciation of +4.55% on the units bought plus $62,326.56 in dividends).
- Entry costs: -$2,188,056.93 COP (0.69% of the capital).
- Net effect: +$12,125,769.63 COP (+3.85%), the value of $327,483,540.91 COP versus the reference capital.
- CDT withdrawal: -$3,243,143.42 COP (target $3,228,268.42 plus sale fee $14,875).

The CDT withdrawal equals 1.0237% of the capital; the market delivered more than four times the withdrawal in the month. That cushion is what explains the final margin of $8.88 million.

6.2 How Sensitive the Result Is to the Price

With the same units, the available cash and the same costs, the hard condition would be met as long as the closing price at cutoff was not below about $25,145 COP. That threshold sits +1.71% above the purchase price ($24,721 COP) and -2.71% below the observed close ($25,846 COP). In other words, the portfolio does not merely need to avoid losses: it must appreciate about 1.7% above the purchase price to absorb the entry costs and the first month's withdrawal, and a decline of about 2.7% from the September 25 close would already have made the condition fail.

6.3 The Withdrawal Consumes Units

Since dividends contribute very little, the monthly withdrawal is financed by selling units: 123 of 12,668 this month (0.97%). Each month the condition is met, the portfolio is left with fewer units; to keep meeting it, the accumulated price appreciation must offset that reduction and the recurring costs of the sale.

6.4 Comparability with the Other Tests

The reference capital is the same, but the measurement currencies differ: the ETF portfolio is evaluated in dollars and is exposed to the exchange rate, while the ICOLCAP portfolio is measured in pesos and has no currency exposure. For that reason, the results of the two tests should not be read as a direct comparison of management but as two answers to the same question under different conditions.

6.5 Scope and Limitations

A single month does not allow conclusions about the long-term viability of the strategy. In addition: prices and dividends were entered manually and no withholding tax was applied on dividends.

7. Next Steps

- Execute the sale of 123 units and record the withdrawal. The portfolio starts the next evaluation with 12,545 units and the remaining cash of $2,327.49 COP.

- Adjust the system to chain the cutoffs: today each run starts from the initial purchase; for the second cutoff it must deduct the units sold and the cash already withdrawn.
- Define the date of the next evaluation: October 25, 2026 falls on a Sunday, so it is proposed to evaluate with the close of Friday, October 23 or Monday, October 26, and to include the dividend of $154.84 per unit paid on October 6.
- Keep the explicit record of fees, cash and dividends at each cutoff, using the same methodology as this report.